CASCADIA ANALYTICS

# Ethos Technologies Inc.

Equity Research Note | LIFE | 30 OCTOBER 2026

## Distribution Compounder Priced as a Fad

Ethos Technologies Inc. screens as a Buy with a $79.52 blended target, 83% above the current price.

**Analyst: Justin Wen**

| REFERENCE PRICE | BLENDED TARGET | BLENDED UPSIDE | |
|---|---|---|---|
| $43.39 | $79.52 | +83% | BUY |

### Investment Thesis

Distribution Compounder Priced as a Fad. Ethos is an asset-light life insurance distribution platform growing revenue above 100% with a contracted renewal-commission asset, priced at 3.9x guided FY2026 sales with a market-implied growth rate below our Bear case.

## The latest print

Distribution Compounder Priced as a Fad. Ethos is an asset-light life insurance distribution platform growing revenue above 100% with a contracted renewal-commission asset, priced at 3.9x guided FY2026 sales with a market-implied growth rate below our Bear case.

| $189.6M | $35.2M | $1,758 |
|---|---|---|
| REVENUE (Q2 '26) | ADJUSTED EBITDA (Q2 '26) | ARPU (Q2 '26) |

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## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q2 '26)** | $189.6M | +113% | Up |
| **Adjusted EBITDA (Q2 '26)** | $35.2M | 19% margin | Up |
| **ARPU (Q2 '26)** | $1,758 | -8% | Down |

## The moat

Activated policies +133% YoY in Q2 2026 to 107,847; H1 activations 196,220

## The growth engine

FY2026 guidance: revenue $727-731M, adjusted EBITDA $119-123M; $100M Class A repurchase authorized

## Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

| SCENARIO | 2027-31 CAGR | 2031 REVENUE | 2031 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|
| **Bear** | 14.6% | $1.66B | 12.2% | **$42.32** | -2% |
| **Base** | 21.8% | $2.33B | 16.2% | **$77.96** | +80% |
| **Bull** | 27.0% | $2.94B | 19.7% | **$119.84** | +176% |

**Bear:** downside case at $42.32 (-2%).

**Base:** central case at $77.96 (+80%).

**Bull:** upside case at $119.84 (+176%).

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Ethos Technologies Inc. valuation framework · Generated 30 October 2026
Current version: cascadia.jda-properties.com/#/ticker/LIFE

# The probability-blended target implies 83% upside

The blended target implies +83% from the $43.39 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

**$79.52**
BLENDED TARGET

The valuation uses a multi-year discounted cash flow framework across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario matrix above states what each scenario assumes in growth and margin terms and what it produces: horizon revenue, enterprise value, equity value and the per-share target.

We judge a scenario by whether its growth and margin posture is supported by the filed record and the company's own guidance, and we disclose below how much of each scenario's value sits in the terminal year, because that share is where the valuation risk concentrates.

| | |
|---|---|
| Reference price | **$43.39** |
| Bear target | **$42.32** |
| Base target | **$77.96** |
| Bull target | **$119.84** |
| Blended target | **$79.52** |
| Terminal value share of Base enterprise value | **92.5%** |

**BUY | $79.52 BLENDED TARGET | WEN**

## The reverse DCF: what the market prices in

The market-implied revenue CAGR is 10.7%, none.

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|
| **Bear** | $2.63B | $150M | $2.78B | **$42.32** |
| **Base** | $4.97B | $150M | $5.12B | **$77.96** |
| **Bull** | $7.72B | $150M | $7.87B | **$119.84** |

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## Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 92.5% of Base enterprise value (Bear 91.4%, Bull 92.8%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

| SCENARIO | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 |
|---|---|---|---|---|---|---|
| **Bear** | $42.32 | $46.72 | $51.49 | $56.28 | $61.05 | $65.79 |
| **Base** | $77.96 | $86.06 | $94.93 | $104.03 | $113.18 | $122.23 |
| **Bull** | $119.84 | $132.29 | $145.95 | $160.10 | $174.41 | $188.48 |

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $79.52 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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# The franchise deep dive

Activated policies +133% YoY in Q2 2026 to 107,847; H1 activations 196,220

FY2026 guidance: revenue $727-731M, adjusted EBITDA $119-123M; $100M Class A repurchase authorized

## Revenue and margin trend

| METRIC | 2024 | 2025 | H1 2026 |
|---|---|---|---|
| **Revenue** | $254.9M | $387.6M | $382.7M |

## Valuation cross-check

EV/Sales 4.6x TTM, 3.7x on FY2026 guidance

DCF Base $77.96

Reverse DCF implied CAGR 10.7% vs Base 26.1%

LIFE 4.6x EV/Sales TTM and 3.7x on FY2026 guidance

Broker and distribution peers at 3.0-5.4x EV/Sales TTM: AJG 5.4x, BRO 4.4x, GSHD 3.5x, BWIN 3.5x, RYAN 3.0x

LIFE trades inside the peer pack on sales while growing far faster (revenue +113% YoY in Q2 2026 against peers at +7% to +31%), so the discount is growth-adjusted, not headline. The offset is margin quality: LIFE's GAAP operating margin of 9.6% trails the mature brokers' roughly 19-25%, and closing that gap depends on SBC normalization.

Public only since the January 2026 IPO, so no multi-year multiple range exists

At the October 30 close of $43.39 the shares trade at 4.6x TTM sales and 3.7x guided FY2026 sales

With ten months of trading history there is no established range to revert to. The valuation case rests on the forward path (guided +88% FY2026 growth decelerating on our scenario path), not on history, and the score reflects the absence of a historical anchor rather than a negative signal.

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## What to monitor

**Nov-2026.** Q3 2026 print against guided revenue of $160-164M and adjusted EBITDA of $23-25M

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $79.52 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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# Agency risk score 65 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 8.46% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $36.69M of sales, a net flow of -$36.69M. One-year total shareholder return is +158.9% against CEO total pay of $470.8K (Mr. Peter George Colis), which the model scores as PERFORMANCE EARNED.

**65**

AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 25 / 40 | 8.46% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 14 / 30 | Buys $0 (0) vs sales $36.69M (18), net -$36.69M, trailing six months |
| **Pay-for-Performance** | 26 / 30 | PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +158.9%; Mr. Peter George Colis, Co-Founder, CEO & Chair of Board of Directors, total pay $470.8K |
| **Agency Risk Score** | **65 / 100** | Regime: BALANCED / TYPICAL CORPORATE |

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## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-08-21** | Colis Peter George | Chief Executive Officer | SELL | 84,448 | $2.80M |
| **2026-08-20** | Sc Us Ttgp, Ltd. | Beneficial Owner of more than 10% of a Class of Security | SELL | 142,616 | $4.71M |
| **2026-08-20** | Kucharski Brandt Walter | Officer | SELL | 8,735 | $283.7K |
| **2026-08-20** | Wang Lingke | President | SELL | 118,333 | $3.94M |
| **2026-08-17** | Kucharski Brandt Walter | Officer | SELL | 83,047 | $2.90M |
| **2026-08-17** | Wang Lingke | President | SELL | 22,623 | $775.6K |
| **2026-08-17** | Capozzi Christopher M. | Chief Financial Officer | SELL | 26,184 | $893.9K |
| **2026-08-17** | Colis Peter George | Chief Executive Officer | SELL | 29,342 | $1.00M |

## SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker, so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 30 October 2026 for this note.

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## The bear case

### Carrier Concentration

Carrier concentration: Carrier A 41% and Carrier B 38% of H1 2026 revenue

### ARPU Compression and Agent Persistency

ARPU down 8% YoY on channel and product mix; third-party agent persistency requires active termination discipline

## The strengths

### Growth

Revenue +113% YoY in Q2 2026 and +108% in H1; activations +133% YoY; FY2026 guided +88%. Scored below the ceiling because growth is volume-led with ARPU down 8% YoY and the guide already embeds deceleration.

### Operating Quality

Contribution margin 33% and adjusted EBITDA margin 19% in Q2 2026, but GAAP operating margin is 9.56% after SBC; margin quality depends on SBC normalization that has not yet printed for a full year.

### Balance Sheet

Net cash of $150.09M on the house bridge (cash plus current investments less the commissions-sale liability); no borrowings; a $324.28M commissions-receivable stock as a contracted asset.

### Cash Conversion

Operating cash flow of $66.869M in H1 2026 is real, but the commissions-receivable build absorbed $71.275M in the same period; conversion improves only as growth decelerates.

## Cascadia scorecard

**Composite score 67: Attractive.** Confidence Medium, as of 30-Oct-2026.

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| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Growth** | Revenue +113% YoY in Q2 2026 and +108% in H1; activations +133% YoY; FY2026 guided +88%. Scored below the ceiling because growth is volume-led with ARPU down 8% YoY and the guide already embeds deceleration. | 88 |
| **Operating Quality** | Contribution margin 33% and adjusted EBITDA margin 19% in Q2 2026, but GAAP operating margin is 9.56% after SBC; margin quality depends on SBC normalization that has not yet printed for a full year. | 62 |
| **Balance Sheet** | Net cash of $150.09M on the house bridge (cash plus current investments less the commissions-sale liability); no borrowings; a $324.28M commissions-receivable stock as a contracted asset. | 85 |
| **Cash Conversion** | Operating cash flow of $66.869M in H1 2026 is real, but the commissions-receivable build absorbed $71.275M in the same period; conversion improves only as growth decelerates. | 55 |
| **Moat and Durability** | Distribution challenger with no underwriting risk but severe carrier concentration (Carrier A 41%, Carrier B 38% of H1 revenue) and no pricing power over carriers; moat cross-check held at 0%. | 40 |
| **Valuation** | At $43.39 the market implies 10.7% five-year revenue CAGR on Base margins against a Base path of 26.1% and a Bear path of 17.9%; Base target is +79.7% above spot. | 90 |

## Investment view

A Q3 2026 print that misses the guided $160-164M revenue range, ARPU compression accelerating past low double digits, loss of Carrier A or B distribution, or SBC failing to normalize below about 6% of revenue would each weaken the case; two together would end it.

**Investment view: Buy. The $79.52 blended target implies +83%, balancing the $42.32 / $77.96 / $119.84 Bear / Base / Bull outcomes.**

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